outgo in the form of royalty payments. Fortunately, the proposal got shelved.

Doing Away with Artificial Division of Industries between Small and Large Sectors

IP-1991 did not touch the artificial division of industries between the small and large sectors. It merely said, ‘Industries reserved for the small-scale sector will continue to be so reserved.’ A separate policy statement was issued that increased the investment limits in different segments of the small sector and announced some financial measures for supporting small-scale industry (SSI). However, the winds of liberalization and deregulation had begun to blow. It was only a matter of time that reservations for the small-scale sector would also blow away.

The reservation of some items for manufacture by SSI only started sometime in the late 1960s. Section 29B was inserted in IDRA-1951 sometime in the early 1970s. More and more items were added to the list of items reserved. The notification issued on 25 July 1991, immediately after the announcement of IP-1991, listed all the items reserved for the small sector in Annexure III. Only a few more items were added to the list in the post-liberalization period. At its peak in 1997–98, there were about 840 industrial products reserved for manufacture exclusively in the small sector.

The process of de-reservation started in 1997–98 when the first notification was issued in April 1997 de-reserving about fifteen items, including ice-cream, vinegar, rice milling, dal milling, biscuits, hairdryers and ashtrays. This process of removing items from the list continued over the next eighteen years. Finally, through a notification issued on 10 April 2015, the twenty remaining items were de-reserved. With this, the saga of SSI reservations came to a close.

SSI manufactured about 7000 industrial items in India in the late 1990s, with about 850 items on the reservation list. It is argued that even at the